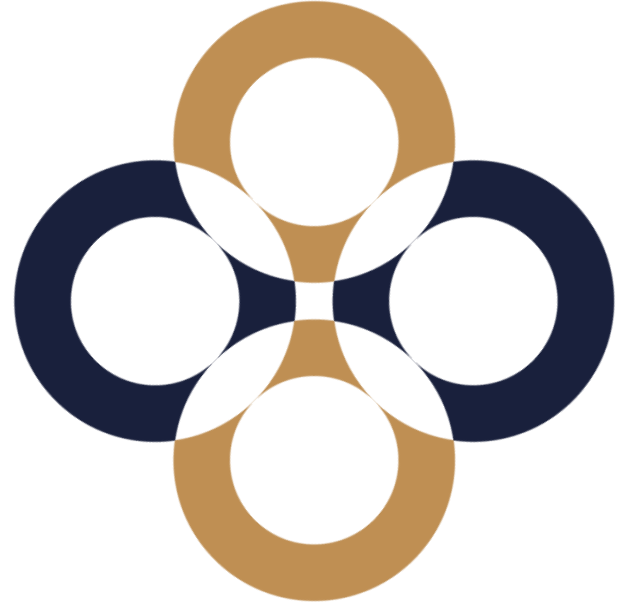


Business valuation: Closing revision

Péter Juhász, PhD, CFA



The value is different for everyone

What?

When?

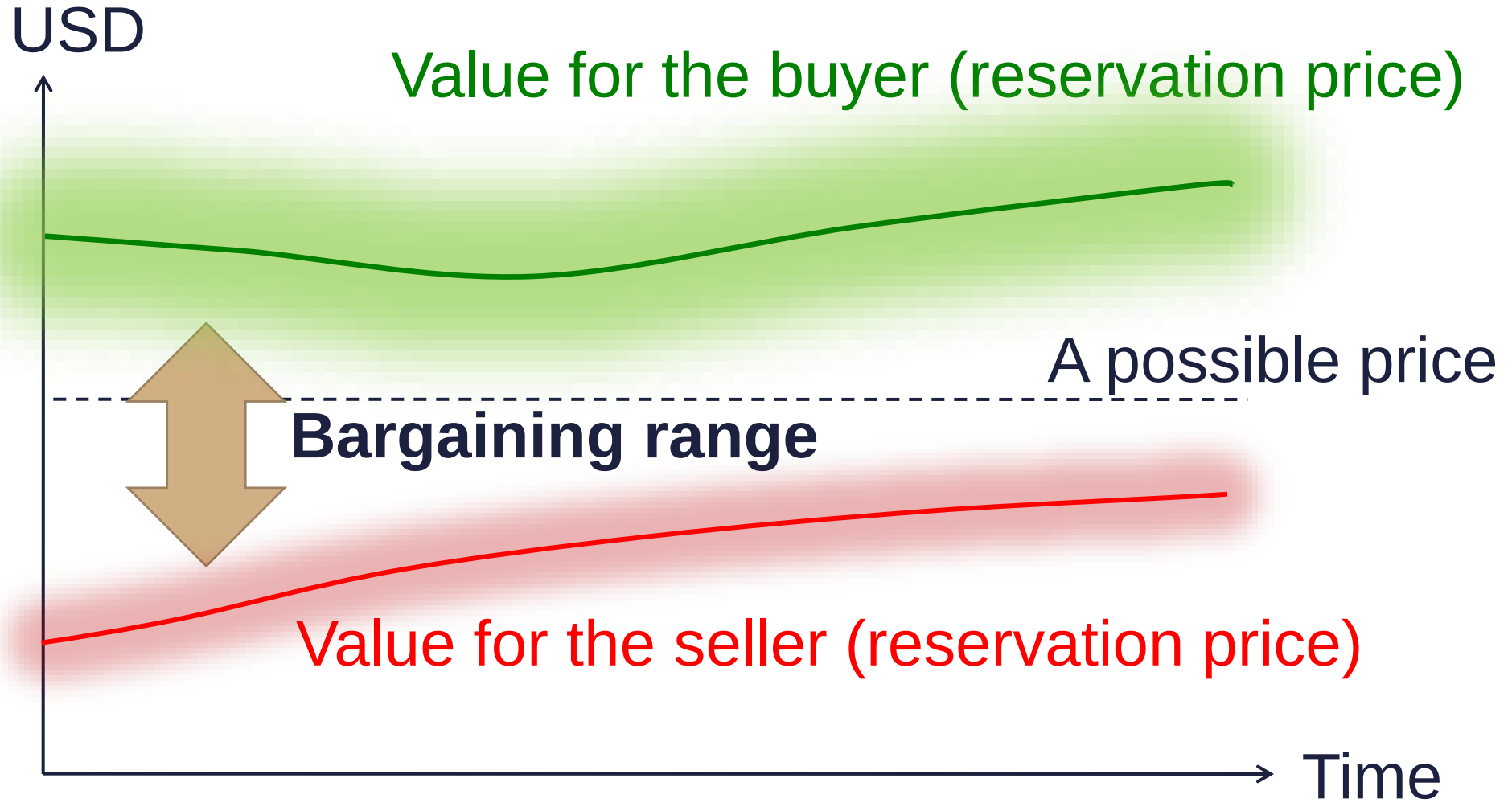
Whom
for?

Why?

Some value is not to be measured by money



All we may give is a range



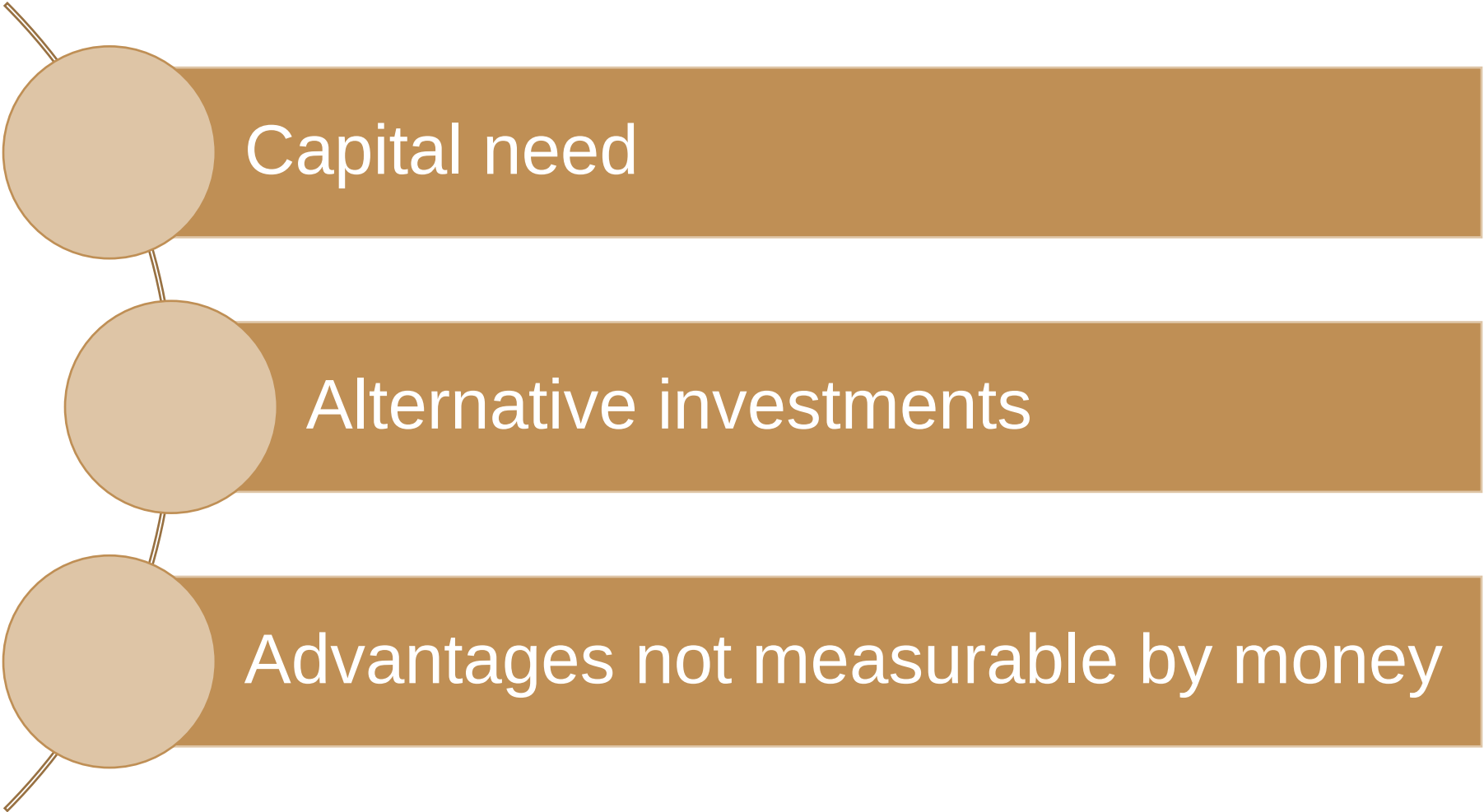
We have at least three opportunities

Operating

Selling on the market

Liquidating

It is not only the NPV (MVA) that counts.



Capital need

Alternative investments

Advantages not measurable by money

There are no universal rules.

Industry

Market

Owner

Regulations

Management

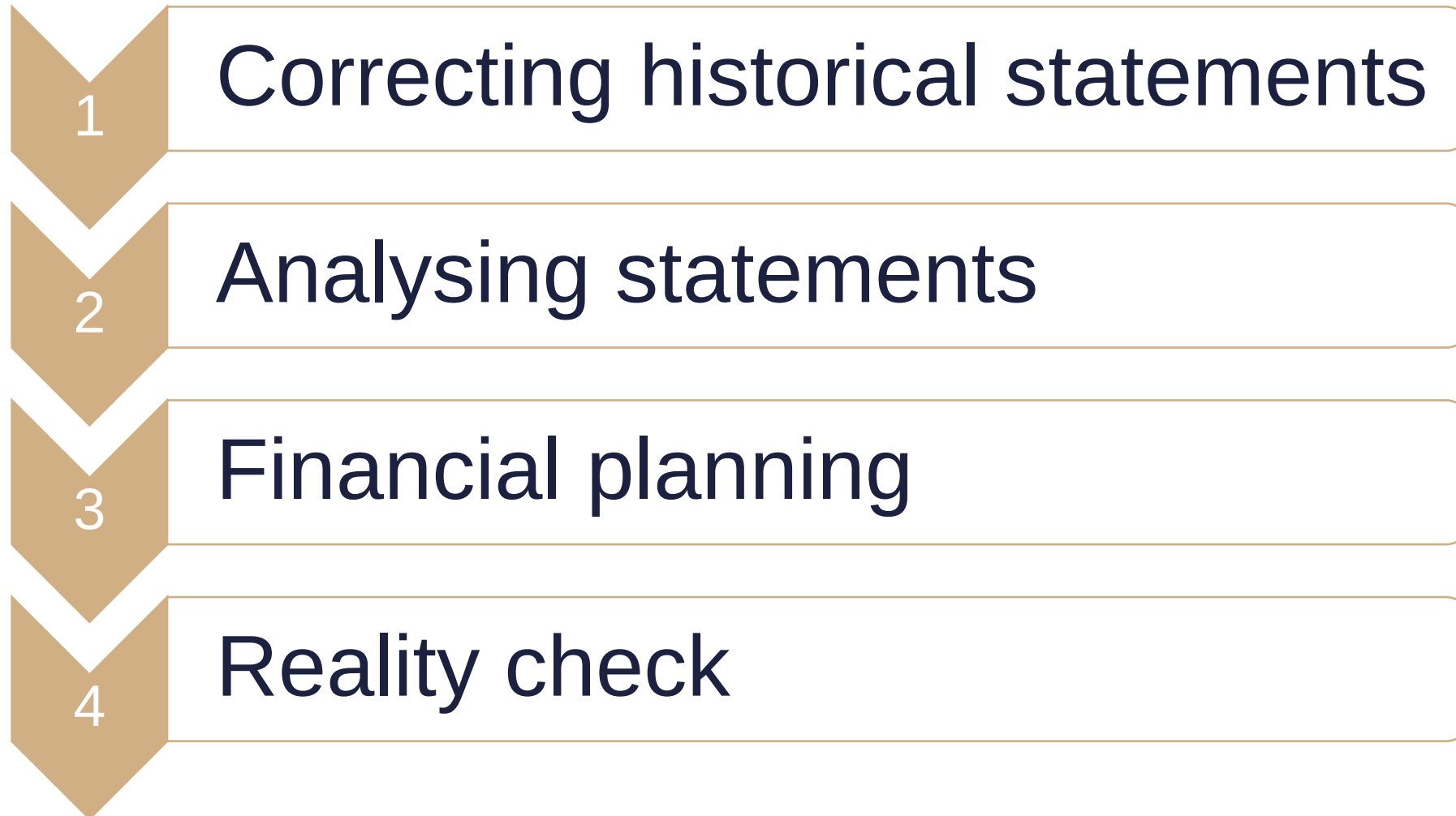
Value creation lies in the culture.



Source:
stevensonfinancialmarketing.wordpress.com/tag/customer-service/

“ The sales team did all they could, so I’d have to say the blame for that must fall on the consumer.”

The process of prediction



The base rule of analysis

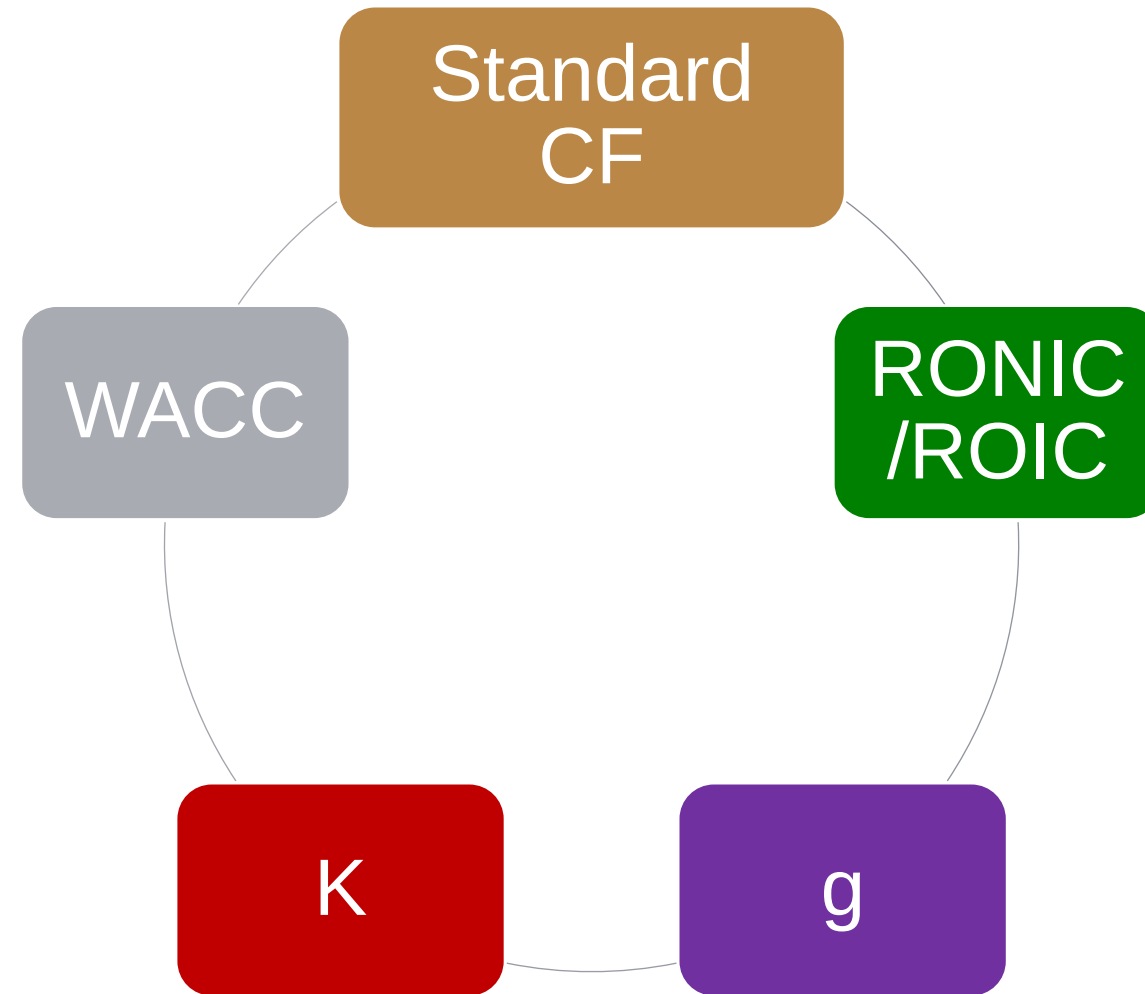
Excel calculates everything, but ...

Use only ratios for which you know

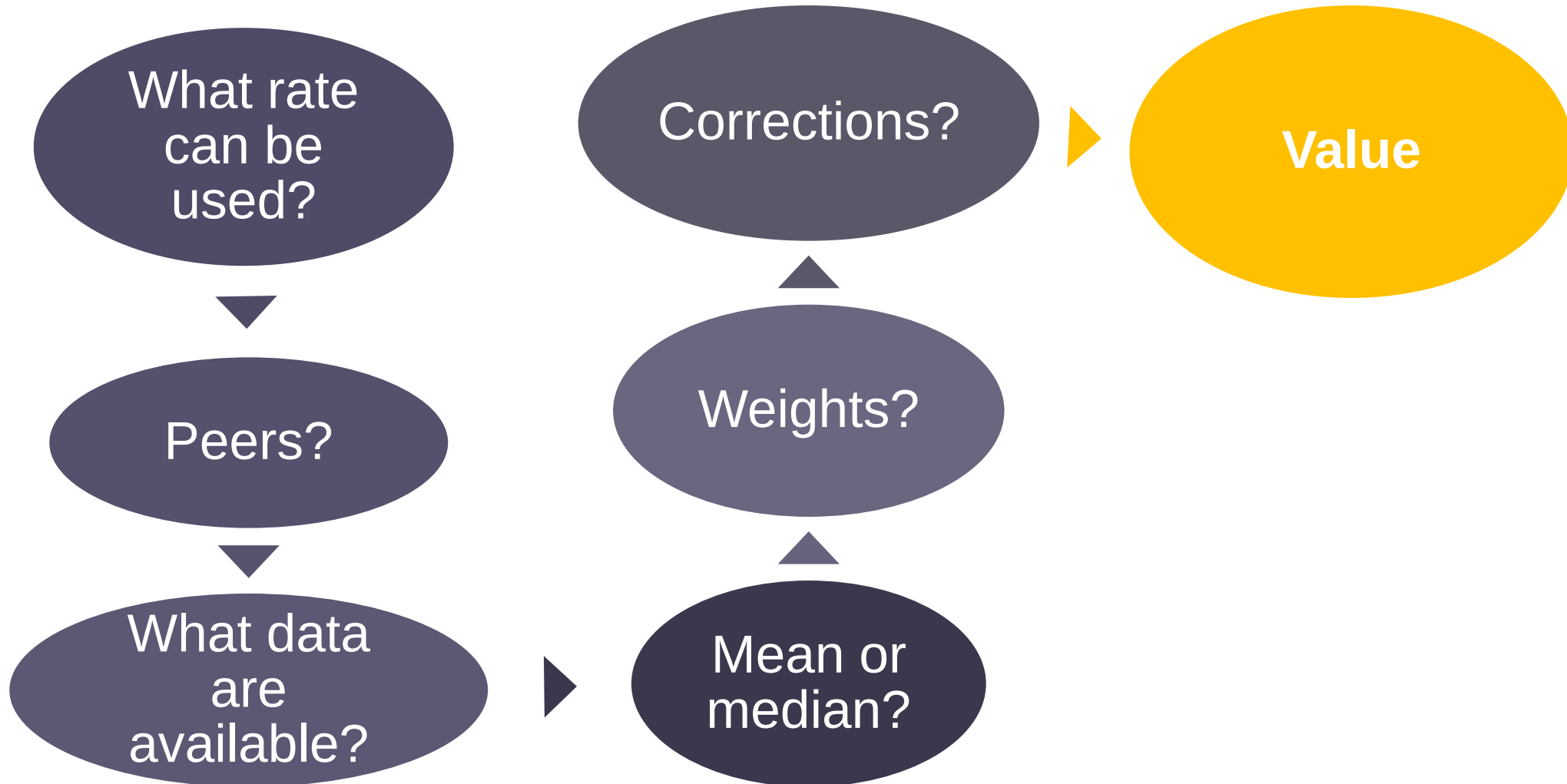
the formula, the meaning, and the limits.

(It does not matter whether it has a name or not.)

The terminal value



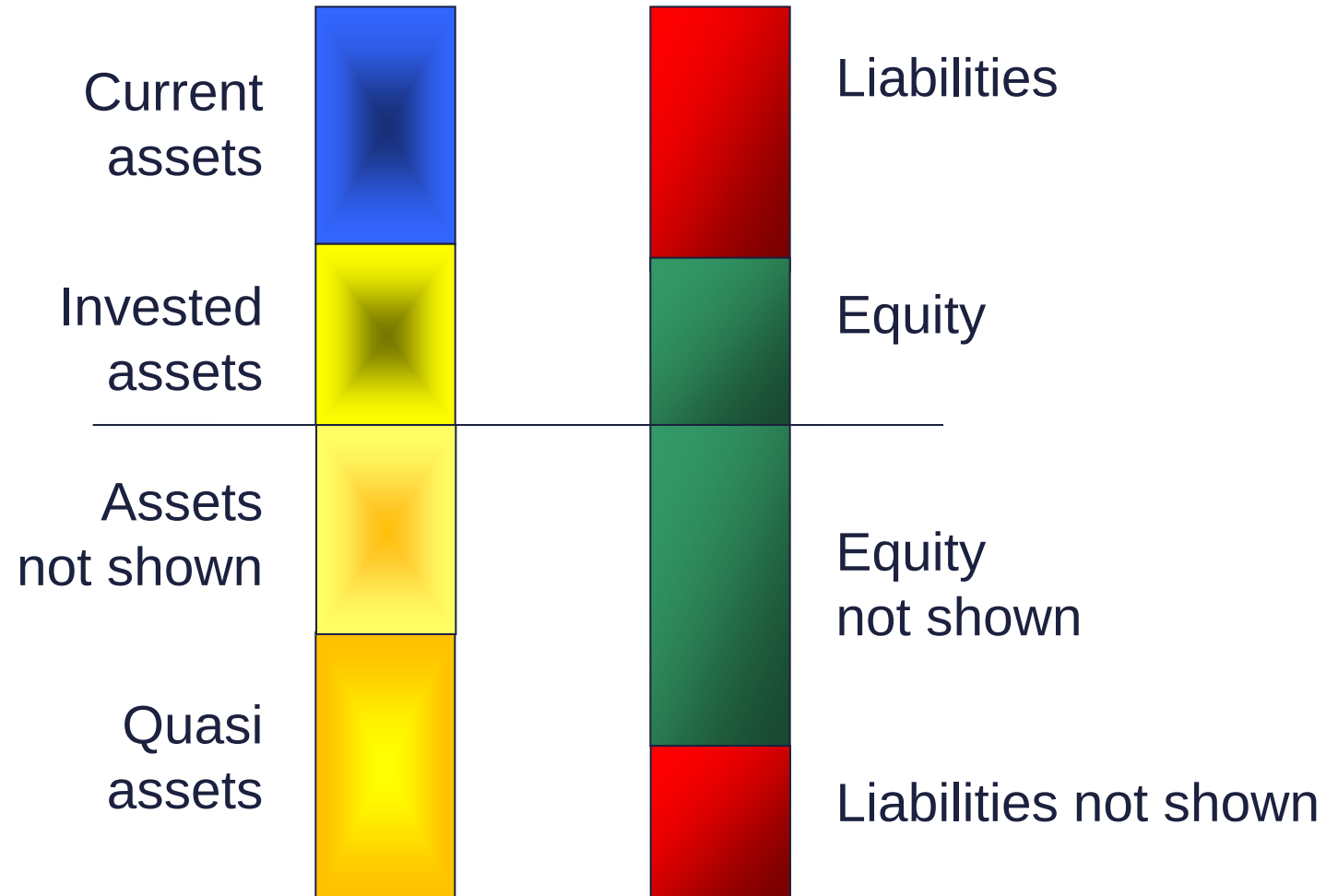
Multiple-based valuation



Asset-based valuation

Accounting balance sheet

Off- balance sheet „assets”



Business valuation approaches

	DCF	Multiples	Asset-based	Real options
Aim	Intrinsic value	Market price	Liquidation value	Decision alternatives
Key inputs	CF, Cost of capital, Planning possible	Peers with values	Asset prices, complete list of valuables	Distributions, expected values
Advantages	Performance clearly stated, long term focus	Quick, market judgement	Document-based	More realistic view of future
Dangers	Discounting dreams	Implicit assumptions	Quasi assets	Risk ads value

Synergy (Only quantifiable at company level, risk differs across types)

Discounts & premiums (different for each method, either on equity or for a stake)

Value of stakes The value of a single share is not simple the proportional part of equity: $MV(E/N) * N \neq MV(E)$

Private Equity (portfolio view, required rate depends on the investor not the target, pre/post money value)

Valuation in the financial service industry (different logic for planning, huge differences across sectors, equity valuation only)

Calculate the business cash flow based on the information provided.

Key points:

- Corrections (liquidity debt, management fees, non-operational assets, Balance sheet and P/L effects)
- Operational cash, tax shield
- Structure

Predict the financial statements of the firm based on the value drivers provided. How realistic do you think the plan is?

Key points:

- Use and understanding of the value drivers
- Links among statements (IC, dividend, retained earnings, interest)
- ROIC-RONIC-WACC; g -K-RONIC; r_D , r_A , r_E , D/V , t , WACC; g -market-GDP-financing

Based on the data from the market and our competitors estimate the cost of capital for our firm.

Key points:

- r_A , WACC formulas
- CAPM, build-up models
- Turn competitor β_A into own WACC

Prepare a DCF valuation based on the data provided.

Key points:

- What is the right discount rate?
- Start with the method not requiring iteration.
- Terminal value formulas

Prepare (correct) the multiple-based valuation of this firm.

Key points:

- Consistency, Relevance, Uniformity.
- Is that EV (V) or P (E) that the ratio estimates?
- Peers' selection criteria are different for the four ratio groups.

What is the asset-based value of the firm?

Key points:

- You should not only consider assets and liabilities in the balance sheet.
- We use market values.
- If the operational value (DCF, multiples) is below the asset value, we have to liquidate the business.

Firm A wishes to buy Firm B. What is the maximum price (realistic price range)? What stake of the joint firm do you have to offer if you can only pay X million in cash?

Key points:

- **Synergy** = $V_{A+B} - V_A - V_B$
- **Max price** = $E_B + \text{Synergy} = V_{A+B} - V_A - D_B$
- Buyer deducts, seller adds transaction costs.
- If you have synergy and D/V is fixed, there is a leverage effect.

At the end of a valuation process we received the following result (E). What conclusions could you draw? What could be the fair price range?

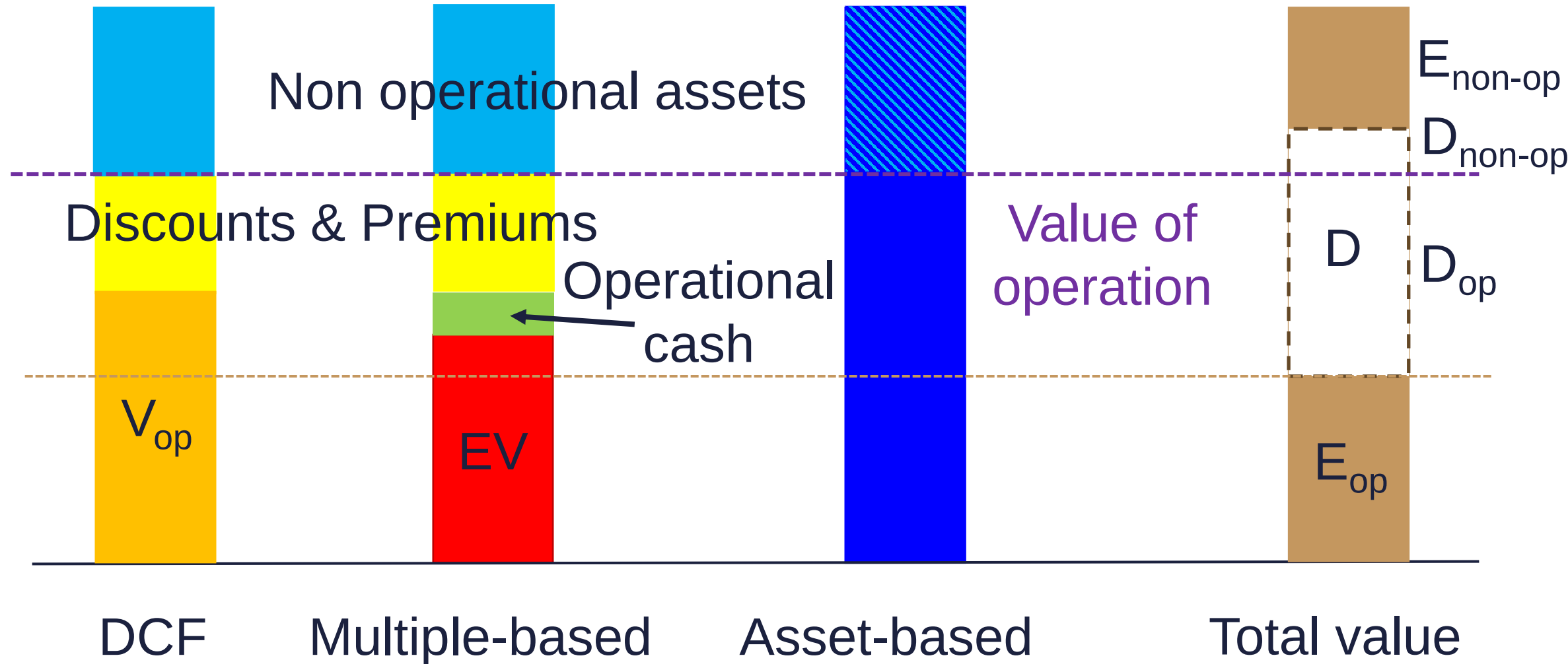
DCF: 1000

Comparable transactions: 1200

Market multiples: 900

Asset-based: 700

Bring your results to the same level



What is the fair value 1?

$E_{\text{operational}}$

DCF

Transactions

Market

Assets

Overconfidence?



What is the fair value 2?

$E_{\text{operational}}$

DCF

Transactions

Market

Assets



Bubble?

What is the fair value 3?

$E_{\text{operational}}$

DCF

Transactions Market

Assets



Non-operational
assets?

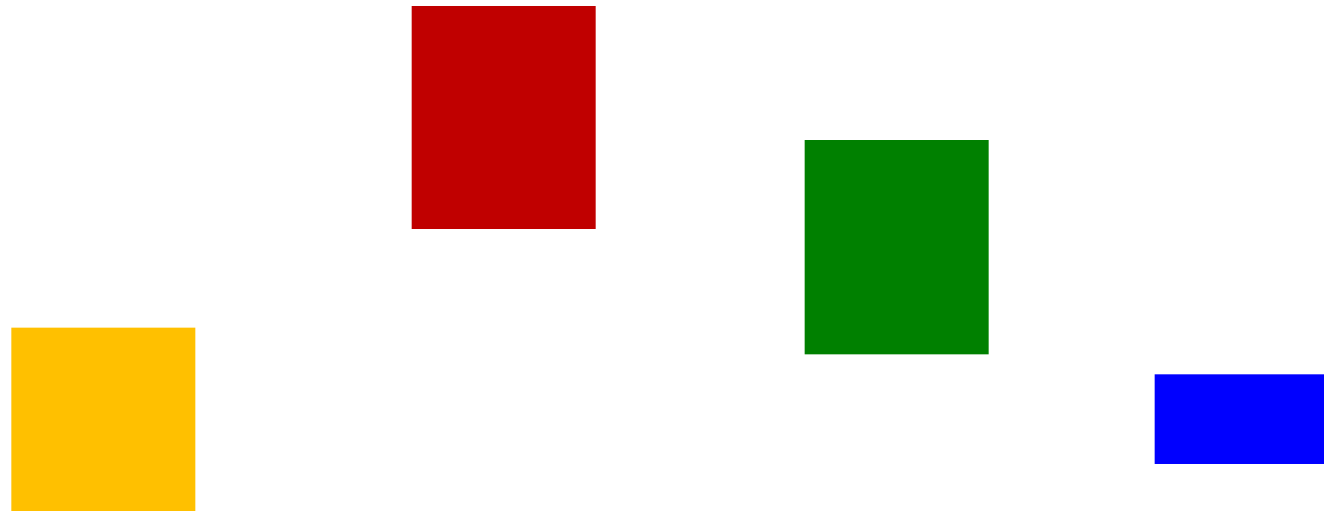
What is the fair value 4?

$E_{\text{operational}}$

DCF

Transactions Market

Assets



Efficiency?

Takeaway





We have to sail.

Stay ethical. The customer comes first.



Declaration of a new doctor

Now, as a new doctor, I solemnly promise that **I will to the best of my ability serve humanity** — caring for the sick, promoting good health, and alleviating pain and suffering.

I recognise that the practice of medicine is a privilege with which comes considerable responsibility and **I will not abuse my position. I will practise medicine with integrity, humility, honesty, and compassion** — working with my fellow doctors and other colleagues to meet the needs of my patients.

I shall never intentionally do or administer anything to the overall harm of my patients. I will not permit considerations of gender, race, religion, political affiliation, sexual orientation, nationality, or social standing to influence my duty of care.

I will oppose policies in breach of human rights and will not participate in them. **I will strive to change laws that are contrary to my profession's ethics** and will work towards a fairer distribution of health resources. **I will assist my patients to make informed decisions that coincide with their own values and beliefs and will uphold patient confidentiality.**

I will recognise the limits of my knowledge and seek to maintain and increase my understanding and skills throughout my professional life. I will acknowledge and try to remedy my own mistakes and honestly assess and respond to those of others.

I will seek to promote the advancement of medical knowledge through teaching and research. I make this declaration solemnly, freely, and upon my honour.

**Thank you
for your attention.
Any questions?**

